

Preaward Survey of Prospective Contractor Accounting System Checklist

Instructions:

1. Please refer to the instructions for filling out this form provided at the bottom of this document.
2. Mark "X" in the appropriate column.
3. On Page 2 provide a narrative describing how the current accounting system supports your response to each item.

		Yes	No	N/A	Note
1.	Is the accounting system in accord with generally accepted accounting principles?				1
2.	ACCOUNTING SYSTEM PROVIDES FOR:				
	a. Proper segregation of direct costs from indirect costs.				2
	b. Identification and accumulation of direct costs by contract.				3
	c. A logical and consistent method for the allocation of indirect costs to intermediate and final cost objectives. (A contract is final cost objective)				4
	d. Accumulation of costs under general ledger control.				5
	e. A timekeeping system that identifies employees' labor by intermediate or final cost objectives.				6
	f. A labor distribution system that charges direct and indirect labor to the appropriate cost objectives.				7
	g. Interim (at least monthly) determination of costs charged to a contract through routine posting of books of account.				8
	h. Exclusion from costs charged to government contracts of amounts which are not allowable in terms of FAR 31, Contract Cost Principles and Procedures, or other contract provisions.				9
	i. Identification of costs by contract line item and by units (as if each unit or line item were a separate contract) if required by the proposed contract.				10
	j. Segregation of preproduction costs from production costs				11
3.	Accounting system provides financial information:				
	a. Required by contract clauses concerning limitation of cost (FAR 52.232-20 and 21) or limitation on payments (FAR 52.216-16).				12
	b. Required to support requests for progress payments.				13
4.	Is the accounting system designated, and are the records maintained in such a manner that adequate, reliable data are developed for use in pricing follow-on acquisitions?				14

		Yes	No	N/A	Note
5.	Is the accounting system currently in full operation? (If not, describe in Page 2 narrative which portions are (1) in operation, (2) set up, but not yet in operation, (3) anticipated, or (4) nonexistent.) Do you currently have existing contracts with the U.S. Government?				15

Instruction: Use this section to explain how the current accounting system supports your response to each item. If a response is N/A provide further explanation. Use as much space as needed. Provide references to current policies and procedures if applicable.

Note	Narrative
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